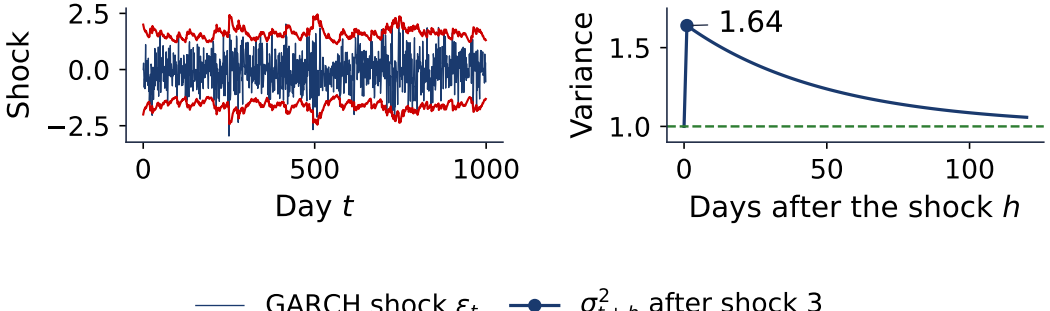
Shock
2.5
0.0
−2.5
0
500
1000
Day t
Variance
1.64
1.5
1.0
0
50
100
Days after the shock h
GARCH shock ε_t
$\pm 2\sigma_t$
σ^2_{t+h} after shock 3
Long-run variance = 1